

Business Model Innovation

Deliberate change to how a firm creates, delivers and captures value

GLOSSARY 01 - SHEET 5 / 8

PROFESSIONAL DEFINITION

Business model innovation is a deliberate and non-trivial change to one or more elements of the system by which a firm creates value for customers, delivers that value, and captures a share of it as revenue and margin. It is distinguished from product innovation because the object changed is the architecture of the business rather than the offering itself (Osterwalder and Pigneur, 2010; Amit and Zott, 2012).

WHO DEFINED IT ORIGINALLY

The canonical operational definition and its nine-block canvas were developed by Alexander Osterwalder in his 2004 doctoral thesis at HEC Lausanne under Yves Pigneur and published as *Business Model Generation* (2010). The strategic-theoretic account is Amit and Zott's (2001, 2012) activity-system perspective; Teece (2010) supplied the link to profit capture and dynamic capabilities.

WHY THIS DEFINITION WAS DEVELOPED

Strategy tools of the 1990s analysed industry position and competitive advantage but were silent on the mechanism by which a firm actually earned money. As digital entrants began competing on that mechanism rather than on the product, firms needed a shared, visual vocabulary for describing and redesigning it quickly enough to respond.

HOW IT IS USED

Map the current model across its nine blocks, identify which blocks a digital or AI-enabled competitor is attacking, and prototype alternative configurations before committing capital to any of them.

WHEN IT IS USED

When margins erode without loss of product quality, when a new entrant competes on a different revenue logic, at the start of a corporate venturing initiative, and when an AI capability makes a previously uneconomic customer segment viable.

BY WHOM IT IS USED

Strategy teams and corporate development, business unit general managers who own the profit and loss, and innovation and venturing units testing alternative configurations.

FIGURE 1 - CREATE, DELIVER, CAPTURE

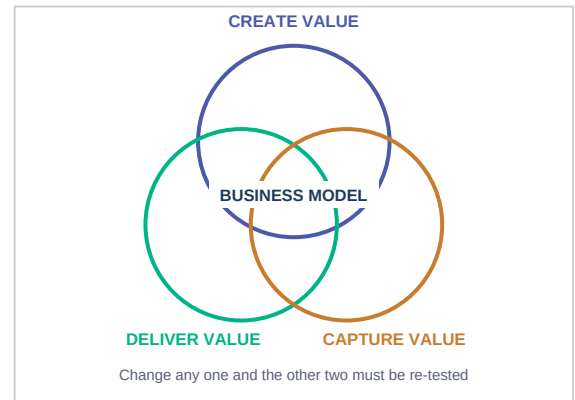


Figure 1. A business model is the intersection of three questions, not one of them. Innovation that changes value creation without changing capture produces adoption without margin - the recurring outcome of AI pilots priced as free internal services (after Osterwalder and Pigneur, 2010; Teece, 2010).

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The predecessor instrument was the value chain (Porter, 1985), which decomposed a firm into sequential activities and located margin at the end of them. The business model canvas replaced the sequence with a system in which customer segments, channels, partners and revenue logic are altered simultaneously, and it made the object of change visual and testable. Where the value chain explained where cost sat, the canvas explains where the business could be different.

RELATED DEFINITIONS IN THIS COURSE

Digital Transformation - Unit 1

Disruptive Innovation - Unit 1

Value Migration - Unit 1

Scalable AI Business Model - Unit 3

Profit Pool - Unit 3

SOURCES (HARVARD REFERENCING STYLE)

- Amit, R. and Zott, C. (2012) 'Creating value through business model innovation', MIT Sloan Management Review, 53(3), pp. 41-49.
- Osterwalder, A. and Pigneur, Y. (2010) *Business Model Generation: A Handbook for Visionaries, Game Changers, and Challengers*. Hoboken, NJ: John Wiley & Sons.
- Porter, M.E. (1985) *Competitive Advantage: Creating and Sustaining Superior Performance*. New York: Free Press.
- Teece, D.J. (2010) 'Business models, business strategy and innovation', Long Range Planning, 43(2-3), pp. 172-194.